

THE CITY OF FILLMORE
COMMUNITY FACILITIES DISTRICT NO. 6
(SESPE CREEK AND RIVER STREET IMPROVEMENTS)
RATE AND METHOD OF APPORTIONMENT FOR

A Special Tax as hereinafter defined shall be levied on all Assessor's Parcels in the City of Fillmore Community Facilities District No. 6 (Sespe Creek and River Street Improvements) ("CFD No. 6") and collected each Fiscal Year commencing in Fiscal Year 2008-2009, in an amount determined by the Council through the application of the appropriate Special Tax as described below. All of the real property in CFD No. 6, unless exempted by law or by the provisions hereof, shall be taxed for the purposes, to the extent and in the manner herein provided.

A. DEFINITIONS

The terms hereinafter set forth have the following meanings:

"Acre or Acreage" means the land area of an Assessor's Parcel as shown on an Assessor's Parcel Map, or if the land area is not shown on an Assessor's Parcel Map, the land area shown on the applicable final map, parcel map, condominium plan, or other recorded County parcel map.

"Act" means the Mello-Roos Community Facilities Act of 1982, as amended, being Chapter 2.5, Division 2 of Title 5 of the Government Code of the State of California.

"Administrative Expenses" means the following actual or reasonably estimated costs directly related to the administration of CFD No. 6: the costs of computing the Special Taxes and preparing the Annual Special Tax collection schedules (whether by the City or designee thereof or both); the costs of collecting the Special Taxes (whether by the County or otherwise); the costs associated with preparing Special Tax disclosure statements and responding to public inquiries regarding the Special Taxes; the costs of the City, CFD No. 6 or any designee thereof related to an appeal of the Special Tax; and the City's annual administration fees and third party expenses. Administrative Expenses shall also include amounts estimated or advanced by the City or CFD No. 6 for any other administrative purposes of CFD No. 6, including attorney's fees and other costs related to commencing and pursuing to completion any foreclosure of delinquent Special Taxes.

"Annexation Area Property" means, for each Fiscal Year, all Assessor's Parcels within a Future Annexation Area that have been annexed into CFD No. 6 by April 30 of the prior Fiscal Year.

"Annual Special Tax" means the annual Special Tax to be levied each Fiscal Year, commencing with Fiscal Year 2008-2009, on each Assessor's Parcel of Developable Property, Property Owner Association Property, and Taxable Public Property to fund the Special Tax Requirement.

"Assessor's Parcel" means a lot or parcel shown in an Assessor's Parcel Map with an assigned Assessor's Parcel number.

"Assessor's Parcel Map" means an official map of the Assessor of the County designating parcels by Assessor's Parcel number.

"Bonds" means any indebtedness incurred by the City, including, but not limited to, revenue bonds, general obligation bonds, or an installment sale obligation of the City, the proceeds of which are used to fund all or a portion of the facilities authorized to be financed by CFD No. 6.

"CFD Administrator" means an official of the City, or designee thereof, responsible for determining the Special Tax Requirement and providing for the levy and collection of the Special Taxes.

"CFD No. 6" means the City of Fillmore Community Facilities District No. 6 (Sespe Creek and River Street Improvements).

"City" means the City of Fillmore.

"Council" means the City Council of the City, acting as the legislative body of CFD No. 6.

"County" means the County of Ventura.

"Developable Property" means for each Fiscal Year, all Taxable Property, excluding Taxable Public Property or Property Owner Association Property, that is considered Original CFD No. 6 Property or Annexation Area Property.

"Future Annexation Area(s)" means the geographic areas identified as Future Annexation Areas 1, 2, 3, 4, 5, 6, 7 or 8, as applicable, as identified on the original boundary map for CFD No. 6 and as shown in Exhibit A to this Rate and Method of Apportionment.

"Fiscal Year" means the period starting July 1 and ending on the following June 30.

"Maximum Annual Special Tax" means the maximum Annual Special Tax, determined in accordance with Section C below, that can be levied in any Fiscal Year on any Assessor's Parcel.

"One-Time Special Tax" means a one-time Special Tax that is levied on all Assessor's Parcels within an Annexation Area at the time such property is annexed into CFD No. 6.

"Original CFD No. 6 Property" means the property within CFD No. 6 at the time of formation of CFD No. 6. The Original CFD No. 6 Property is Parcel 2 of Parcel Map 05-03.

"Property Owner Association Property" means, for each Fiscal Year, any Assessor's Parcel within the boundaries of CFD No. 6 that was owned by or irrevocably offered for dedication to a property owner association, including any master or sub-association, as of January 1 of the previous Fiscal Year.

"Proportionately" means for Developable Property that the ratio of the actual Annual Special Tax levy to the Maximum Annual Special Tax is equal for all Assessor's Parcels of Developable Property. For Property Owner Association Property, "Proportionately" means that the ratio of the actual Annual Special Tax levy per Acre to the Maximum Annual Special Tax per Acre is equal for all Assessor's Parcels of Property Owner Association Property. For Taxable Public Property, "Proportionately" means that the ratio of the actual Annual Special Tax levy per Acre to the Maximum Annual Special Tax per Acre is equal for all Assessor's Parcels of Taxable Public Property.

"Public Property" means, for each Fiscal Year, (i) any property within the boundaries of CFD No. 6 that was owned by or irrevocably offered for dedication to the federal government, the State, the City or any other public agency as of January 1 of the previous Fiscal Year; provided however that any property leased by a public agency to a private entity and subject to taxation under Section 53340.1 of the Act shall be taxed and classified in accordance with its use; or (ii) any property within the boundaries of CFD No. 6 that was encumbered, as of January 1 of the previous Fiscal Year, by an unmanned utility easement making impractical its utilization for other than the purpose set forth in the easement.

“Special Tax” means the Annual Special Tax or One-Time Special Tax, as applicable.

“Special Tax Requirement” means that amount required in any Fiscal Year for CFD No. 6 to: (i) pay a share of debt service on the Bonds as determined by the CFD Administrator; (ii) pay Administrative Expenses; and (iii) pay for reasonably anticipated delinquent Annual Special Taxes based on the delinquency rate for Annual Special Taxes levied in the previous Fiscal Year; less (iv) a credit for funds available to reduce the Annual Special Tax levy, as determined by the CFD Administrator.

“State” means the State of California.

“Taxable Property” means all of the Assessor’s Parcels within the boundaries of CFD No. 6 which are not exempt from the Special Tax pursuant to law or Section E below.

“Taxable Public Property” means all Assessor’s Parcels of Public Property that are not exempt from the Special Tax pursuant to Section E below.

B. ASSIGNMENT TO LAND USE CATEGORIES

Each Fiscal Year, all Taxable Property within CFD No. 6 shall be classified as Developable Property, Property Owner Association Property, or Taxable Public Property, and shall be subject to Special Taxes in accordance with the rate and method of apportionment determined pursuant to Sections C and D below. Developable Property shall be further classified by whether it is Original CFD No. 6 Property or Annexation Area Property. Annexation Area Property shall be further classified by the Future Annexation Area in which the property is located.

C. MAXIMUM ANNUAL SPECIAL TAX AND ONE-TIME SPECIAL TAX

1. Maximum Annual Special Tax

a. Original CFD No. 6 Property

The Maximum Annual Special Tax for each Assessor’s Parcel of Original CFD No. 6 Property shall equal \$13,913 per Acre.

Notwithstanding the foregoing, the Maximum Annual Special Tax per Acre for Original CFD No. 6 Property shall be reduced each time a Future Annexation Area is annexed into CFD No. 6 and becomes classified as Annexation Area Property. The amount of the reduction depends on the Future Annexation Area that is annexed, as shown in Table 1 below.

TABLE 1

Future Annexation Area	Reduction in Maximum Annual Special Tax for Original CFD No. 6 Property
1	\$847 per Acre
2	\$17 per Acre
3	\$221 per Acre
4	\$545 per Acre
5	\$1,172 per Acre
6	\$34 per Acre
7	\$350 per Acre
8	\$1,715 per Acre

b. Annexation Area Property

The Maximum Annual Special Tax for each Assessor's Parcel of Annexation Area Property is shown in Table 2 below.

TABLE 2

Annexation Area	Maximum Annual Special Tax for Annexation Area Property
1	\$1,804 per Acre
2	\$7,390 per Acre
3	\$2,116 per Acre
4	\$7,114 per Acre
5	\$1,950 per Acre
6	\$2,447 per Acre
7	\$984 per Acre
8	\$828 per Acre

c. Property Owner Association Property and Taxable Public Property

For property within Original CFD No. 6 Property, the Maximum Annual Special Tax for Property Owner Association Property and Taxable Public Property shall be \$13,913 per Acre. For property within Annexation Area Property, the Maximum Annual Special Tax for Property Owner Association Property and Taxable Public Property is shown in Table 3 below.

TABLE 3

Annexation Area	Maximum Annual Special Tax for Property Owner Association Property and Taxable Public Property
1	\$1,804 per Acre
2	\$7,390 per Acre
3	\$2,116 per Acre
4	\$7,114 per Acre
5	\$1,950 per Acre
6	\$2,447 per Acre
7	\$984 per Acre
8	\$828 per Acre

2. One-Time Special Tax

At the time that a Future Annexation Area is annexed into CFD No. 6, the owner of such Assessor's Parcel(s) must pay a One-Time Special Tax, equal to the Maximum Annual Special Tax that could have been levied on such property for each Fiscal Year beginning in Fiscal Year 2008-2009 and ending in the Fiscal Year before the first Fiscal Year in which the Annual Special Tax will be levied on such property pursuant to Section D.1 below, as determined by the CFD Administrator.

Notwithstanding the foregoing, if a Future Annexation Area is annexed into CFD No. 6 by April 30, 2008, no One-Time Special Tax shall be required.

D. METHOD OF APPORTIONMENT OF THE SPECIAL TAX

1. Annual Special Tax

Commencing with the later of Fiscal Year 2008-2009 or the Fiscal Year in which commences the first calendar year in which debt service is due on the Bonds and for each following Fiscal Year, the Council shall determine the Special Tax Requirement and shall levy the Annual Special Tax each Fiscal Year as follows:

First: The Annual Special Tax shall be levied Proportionately on each Assessor's Parcel of Developable Property at up to 100% of the applicable Maximum Annual Special Tax as needed to satisfy the Special Tax Requirement;

Second: If additional monies are needed to satisfy the Special Tax Requirement after the first step has been completed, then the Annual Special Tax shall be levied Proportionately on each Assessor's Parcel of Property Owner Association Property at up to the Maximum Annual Special Tax for Property Owner Association Property.

Third: If additional monies are needed to satisfy the Special Tax Requirement after the first two steps have been completed, then the Annual Special Tax shall be levied Proportionately on each Assessor's Parcel of Taxable Public Property at up to the Maximum Annual Special Tax for Taxable Public Property.

2. One-Time Special Tax

The One-Time Special Tax shall be levied on each Assessor's Parcel within a Future Annexation Area at the time that such property is annexed into CFD No. 6.

Notwithstanding the foregoing, if a Future Annexation Area is annexed into CFD No. 6 by April 30, 2008, no One-Time Special Tax shall be required.

E. EXEMPTIONS

1. Original CFD No. 6 Property

For the area classified as Original CFD No. 6 Property, no Special Tax shall be levied on up to 1.73 Acres of Public Property. Tax-exempt status will be assigned by the CFD Administrator in the chronological order in which property becomes Public Property. However, should an Assessor's Parcel no longer be classified as Public Property, its tax-exempt status will be revoked.

2. Annexation Area Property

For each Annexation Area, no Special Tax shall be levied on up to the number of Acres of Public Property as shown in Table 4 below. Tax-exempt status within each Annexation Area will be assigned by the CFD Administrator in the chronological order in which property becomes Public Property. However, should an Assessor's Parcel no longer be classified as Public Property its tax-exempt status will be revoked.

TABLE 4

Annexation Area	Acres of Exempt Public Property
1	0.39 Acres
2	0.00 Acres
3	0.07 Acres
4	0.15 Acres
5	2.35 Acres
6	0.00 Acres
7	0.48 Acres
8	0.95 Acres

F. APPEALS AND INTERPRETATIONS

Any landowner or resident may file a written appeal of the Special Tax on his/her property with the CFD Administrator, provided that the appellant is current in his/her payments of Special Taxes. During the pendency of an appeal, all Special Taxes previously levied must be paid on or before the payment date established when the levy was made. The appeal must specify the reasons why the appellant claims the Special Tax is in error. The CFD Administrator shall review the appeal, meet with the appellant if the CFD Administrator deems necessary, and advise the appellant of its determination. If the CFD Administrator agrees with the appellant, the CFD Administrator shall eliminate or reduce the future Special Tax on the appellant's property. If the CFD Administrator disagrees with the appellant and the appellant is dissatisfied with the determination, the appellant then has 30 days in which to appeal to the Council by filing a written notice of appeal with the City Clerk, provided that the appellant is current in his/her payments of Special Taxes. The second appeal must specify the reasons for its disagreement with the CFD Administrator's determination.

Interpretations may be made by the Council by ordinance or resolution for purposes of clarifying any vagueness or ambiguity in this Rate and Method of Apportionment.

G. MANNER OF COLLECTION

1. Annual Special Tax

The Annual Special Tax shall be collected in the same manner and at the same time as ordinary ad valorem property taxes; provided, however, that CFD No. 6 may directly bill the Annual Special Tax, may collect Annual Special Taxes at a different time or in a different manner if necessary to meet its financial obligations, and may covenant to foreclose and may actually foreclose on delinquent Assessor's Parcels as permitted by the Act.

2. One-Time Special Tax

The One-Time Special Tax shall be paid directly to the City at the time that each Assessor's Parcel is annexed into CFD No. 6. The City shall then forward the One-Time Special Taxes to the owner of Original CFD No. 6 Property.

H. PREPAYMENT OF ANNUAL SPECIAL TAX

The obligation of an Assessor's Parcel of Taxable Property to pay the Annual Special Tax may be prepaid and permanently satisfied only if there are no delinquent Special Taxes with respect to such Assessor's Parcel and all other Assessor's Parcels that are owned by the same owner at the time of prepayment.

The amount of the prepayment shall be calculated according to the following formula:

$$PP = NPV [MAST] + AE$$

These terms have the following meanings:

PP	=	the prepayment
NPV [MAST]	=	the present value of the Maximum Annual Special Taxes that could be levied on such property from the date of prepayment through the term of the Annual Special Tax calculated using the average coupon rate on the Bonds. If no Bonds are outstanding, the present value shall be calculated using a discount rate of six percent (6%).
AE	=	the administrative fees and expenses as determined by the CFD Administrator

With respect to any Assessor's Parcel that is prepaid, the Council shall cause a suitable notice to be recorded in compliance with the Act, to indicate the prepayment of the Annual Special Tax and the release of the Annual Special Tax lien on such Assessor's Parcel, and the obligation of such Assessor's Parcel to pay the Annual Special Tax shall cease.

I. TERM OF SPECIAL TAX

The Special Tax shall be levied for a period not to exceed forty years, commencing in Fiscal Year 2008-2009.